

Accenture B-School Challenge Decade Edition

Where AI ambition meets enterprise reality



Accenture B-School Challenge S10 Industry and Enterprise Case Study Section 1 - The Case

1a. Company & Setup

Asteron Motors is an India-headquartered passenger-vehicle manufacturer with FY2026 revenue of INR 74,000 crore, 640,000 annual vehicle sales and six manufacturing sites. Its 620 dealer principals operate 1,050 sales and service outlets across 340 cities. The company's 11-model portfolio spans hatchbacks, sedans, SUVs and three electric vehicles, and independent customer research places Asteron among the top three brands for product quality, features and value. Yet its domestic market share has fallen from 13.4% to 11.2% in three years, moving it from third to fourth place. The decline is sharpest in major cities and fast-growing SUV segments, where customers report slow lead follow-up, uneven showroom experiences and disconnected support after purchase. Lower sales conversion, service retention and repeat purchase are also weakening dealer economics, which depend on vehicle sales, finance and insurance, accessories, service and parts.

An Asteron benchmark of five major competitors found that four are using AI across several stages of the customer lifecycle to respond faster, tailor engagement and strengthen loyalty. Asteron has also invested in AI for the past two years, but through a use-case-by-use-case process: departments or dealer groups proposed an idea, and funding followed when the standalone business case appeared sound. The approach encouraged experimentation, but it also produced separate tools, different vendors and inconsistent data, ownership and tracking. Management cannot say with confidence what value the overall investment has created. The Board has now set aside INR 250 crore a year for the next three years from the existing digital budget and wants an enterprise strategy that uses AI to improve customer experience, strengthen dealer economics and regain market share. Because dealers own much of the customer relationship, the strategy must work across company and dealer boundaries. For this case, agentic AI means AI that can plan and carry out pre-approved steps across a workflow; people remain accountable for decisions that affect customers. All names and figures are fictional.

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1b. The Data

Area	Current position
Scale and footprint	FY2026 revenue INR 74,000 crore; 640,000 annual sales (565,000 domestic and 75,000 exports); six manufacturing sites; 620 dealer principals and 1,050 outlets across 340 cities; INR 250 crore annual AI budget for three years.
Market position	Domestic passenger-vehicle market share: 11.2% (No. 4), down from 13.4% and No. 3 three years ago. Current top three: 21.6%, 17.8% and 13.1%; Asteron's share loss is concentrated in the 20 largest cities and SUV segments.
Portfolio and experience	11 models; SUVs contribute 54% of domestic sales and EVs 7%; two models rank in their segment top three. Product quality and value: 82/100 versus 81/100 competitor benchmark; purchase and ownership experience: 68/100 versus 78/100. Project Vega, a compact electric SUV, is scheduled in 15 months; 420 outlets are EV-ready.
Dealer viability	Average dealer operating margin fell from 2.8% to 1.6% in two years; 27% of outlets lost money on new-vehicle operations; service and parts provide 52% of dealer operating profit; marketing cost per retail sale rose 31%.
Customer acquisition funnel (centrally tracked)	Asteron records 2.4 million leads annually, 72% from digital channels. At successive stages, 78% are qualified, 88% are contacted by a dealer, 58% visit a showroom, 68% take a test drive, 38% make a booking and 88% of bookings convert to retail sales. This results in approximately 217,000 attributable sales , or 38% of Asteron's 565,000 domestic sales . The balance comes through dealer walk-ins, locally generated enquiries, repeat and referral customers, and fleet sales that are not consistently tracked end to end. Average first response time is 16 hours, while 32% of qualified leads are not contacted within 24 hours.
Customer and loyalty	Asteron manages approximately 5.8 million customer care interactions annually , with 66% resolved at first contact , below the industry benchmark. Customer recommendation (NPS) is 24 , compared with a competitor benchmark of 39 , despite comparable product quality. Only 46% of customers continue servicing their vehicles at authorized workshops by the third year of ownership , reducing after-sales revenue and customer insight. Repeat purchase stands at 27% , while active mobile-app engagement falls below 40% after the first year, limiting personalized customer engagement and loyalty opportunities.
Data and workflows	A common customer ID links marketing, sales and after-sales systems for only 38% of customers , limiting a unified customer view. Only 58% of customer records are complete , with duplicate, missing or inconsistent information across OEM and dealer systems. Just 34% of customer journeys are supported by standardized workflows across company and dealer operations , resulting in manual handoffs, inconsistent customer experiences and limited readiness for enterprise-scale agentic AI.
Current AI activity	INR 225 crore spent over two years; 32 initiatives across 11 vendors; 7 in wider use; 4 with independently verified benefits; 43% have a named business owner; 36% use a documented baseline; 34% weekly user adoption.

1c. The Tensions

Product strength vs. customer experience: Competitive vehicles are not translating into sales because slow, uneven customer journeys are eroding market share and dealer profitability.

Immediate recovery vs. long-term readiness: Asteron needs visible gains quickly, but fragmented data, unclear handoffs and weak value tracking limit reliable AI scale.

Enterprise consistency vs. dealer autonomy: Asteron needs consistent customer standards and AI guardrails across its network, but varying dealer practices, capabilities and incentives are leading to uneven adoption and limiting scalable execution.

AI Automation vs. Human Relationships : AI can automate routine interactions and recommendations, but purchasing decisions, negotiations and complaint resolution still depend on trusted human relationships.

Multiple AI Pilots vs. Enterprise AI Strategy: Asteron must preserve the speed and innovation of decentralized pilots while building the shared capabilities, governance and value tracking needed to scale AI enterprise-wide.

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Section 2 • Challenge 1 — Campus Round

2a. The Core Challenge

Asteron's Executive Committee has asked your team to develop a **three-year AI-enabled customer-growth strategy** to help the company regain market share from its current fourth-place position and strengthen dealer viability by improving the customer experience across marketing, dealer sales, customer care and aftersales.

The strategy should show how AI can move from isolated activity to a repeatable source of customer and commercial value, while maintaining dealer participation, customer trust and financial discipline. Management expects to see **credible market-share gains beginning in Year 1**, even as the company builds the capabilities required for sustained value over the longer term.

Based on the proposed strategy and roadmap, recommend how Asteron should allocate its **INR 250 crore annual AI budget** over the three-year period.

2b. The Realities

Reality 1: Value is backloaded, and most organizations quit before it arrives. How should Asteron balance visible early gains with the less visible work on data, processes, dealer adoption and role changes that must be completed before larger value can appear?

Reality 2: Not everything needs AI. Where can AI materially improve customer and commercial outcomes, where would simpler automation or process change be more reliable, and where must employees or dealers retain final judgment?

Reality 3: AI cannot scale inside a pre-AI operating model. What must change in how Asteron and its dealers choose investments, own outcomes, manage risk, track value and learn from frontline feedback so that AI becomes a shared way of working across the company and dealer network rather than another set of local tools?

2c. Success Measures

Teams must determine the yearly targets based on their roadmap and assumptions against these outcomes:

- **Dealer adoption:** Full dealer-network onboarding and sustained active use of the new AI-supported processes.
- **Customer experience:** Better satisfaction and recommendation scores across enquiry, purchase, delivery and service.
- **Market recovery:** Higher market share and stronger conversion from lead to test drive and sale.
- **Customer loyalty:** Higher service retention, repeat purchase and referral rates.
- **Dealer viability:** Better dealer profitability through stronger sales productivity and aftersales revenue.
- **AI value and trust:** Measurable value from the annual AI budget, with responsible data use, fair outcomes and clear human accountability.